

SBFC Finance Limited

September 29, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long-term bank facilities	RBI	6,000.00 (Enhanced from 2,500.00)	CARE AA-; Positive	Reaffirmed; Outlook revised from Stable
Non-convertible debentures	SEBI	400.00	CARE AA-; Positive	Reaffirmed; Outlook revised from Stable
Commercial paper	RBI	200.00	CARE A1+	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

CARE Ratings Limited (CareEdge Ratings) has re-affirmed ratings assigned to bank facilities, long-term instruments, and commercial paper of "SBFC Finance Limited" (SBFC) while revising the outlook from "Stable" to "Positive", considering improving scale while maintaining asset quality and ability to raise resources at competitive rates from diverse set of lenders. Ratings assigned to bank facilities, non-convertible debentures, and commercial paper programme of SBFC continue to derive strength from its sustained increase in scale of operations, healthy and improving profitability, comfortable capitalisation, and a predominantly secured and granular lending portfolio. Ratings also factor in the experienced management team, diversified geographic franchise, and adequate liquidity profile. SBFC's assets under management (AUM) increased to ₹11,922 crore as on June 30, 2026, from ₹11,270 crore as on March 31, 2026, and ₹8,747 crore as on March 31, 2025, while profit after taxation (PAT) increased to ₹451 crore in FY26 from ₹345 crore in FY25, and was ₹130 crore in Q1FY27. Tangible net worth (TNW) remained healthy at ₹3,584 crore as on June 30, 2026, with on book gearing at 2.47x as on June 30, 2026, providing adequate headroom to support medium-term growth. Ratings also take cognisance of improving operating leverage and the company's demonstrated ability to maintain asset quality while scaling up its franchise.

These strengths are partially offset by concentration in the secured micro, small and medium enterprise (MSME) lending segment, the relatively modest credit profile of the target borrower base and the limited seasoning of a rapidly growing portfolio. These borrowers remain more susceptible to cash-flow disruptions during periods of economic stress. The seasoning risk assumes importance given the strong growth in recent years and the relatively long contractual tenure of secured MSME/loan against property (LAP) loans. However, these risks are mitigated by the secured and granular nature of the portfolio, conservative loan-to-value (LTV) ratios, strong collateral backing and an improving borrower credit profile. As on June 30, 2026, 88.59% of customers had CIBIL scores of 700 and above, the average LTV of MSME loans was ~42.6%, and ~85% of the collateral comprised self-occupied residential properties. Asset quality remained broadly stable, with gross non-performing assets (GNPA) and net NPA (NNPA) at 2.66% and 1.55%, respectively, as on June 30, 2026. While credit costs have increased with portfolio seasoning, healthy profitability, collection efficiency, and collateral coverage provide adequate buffers. CareEdge Ratings notes that funding for SBFC has been at a competitive rate, although further diversification of the borrowing mix as the balance sheet expands remains monitorable.

While noting the senior management attrition witnessed in recent years, CareEdge Ratings draws comfort from the company's strong second line of management, which supports continuity in key leadership roles. CareEdge Ratings takes note that Mr. Aseem Dhru (former Chief executive officer of SBFC) has assumed the role of Vice-Chair of the company and is actively involved in operations and management of SBFC.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Sizeable growth in scale of operations while maintaining profitability and asset quality parameters at comfortable levels.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Moderation in capitalisation with gearing remaining above 4x.

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.

²Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

- Deterioration in profitability on sustained basis with return on total assets (ROTA) below 2.5%.
- Weakening asset quality parameters with GNPA remaining above 3% on a sustained basis.

Analytical approach: Standalone

CareEdge Ratings has considered the standalone profile of SBFC.

Outlook: Positive

Positive Outlook reflects CareEdge Ratings' expectation that SBFC will sustain its growth momentum while maintaining comfortable profitability, capitalisation, and asset quality. However, outlook could be revised to Stable if the company is unable to achieve the anticipated growth trajectory, or if there is a material deterioration in asset quality, profitability or capitalisation.

Detailed description of key rating drivers
Key strengths
Experienced management team, with retail lending experience

SBFC is led by an experienced management team with extensive experience across banking and non-banking financial companies (NBFCs). Aseem Dhru, Executive Vice-Chairman, has ~28 years of experience in financial services, including around two decades with HDFC Bank, where he headed business banking, working capital, and retail agriculture business. He has also served as Managing Director and Chief Executive Officer (MD & CEO) of HDFC Securities and as Nominee Director on the board of HDB Finance. Mahesh Dayani, who has been elevated as MD & CEO effective April 1, 2026, has over eight years of experience with SBFC and has previously held senior roles with HDFC Bank, ING Vysya Bank, and Kotak Mahindra Bank. His experience spans commercial and retail lending, and he has been instrumental in strengthening SBFC's business strategy, market presence and growth initiatives, including its successful initial public offering (IPO).

The Clermont group, with shareholding of 52.31% as on June 30, 2026, has strong representation on the Board. FY26 witnessed changes across certain senior management positions spanning credit, risk, operations, collections, and internal audit; however, vacancies were addressed through a combination of external appointments and internal elevations. Continuity at senior leadership level and an established second line of management provide comfort, although management stability remains monitorable.

Focus on secured and granular book; portfolio seasoning remains monitorable

SBFC Finance benefits from a granular and predominantly secured MSME lending franchise, supported by conservative underwriting and a gradual improvement in the credit profile of customers. As on June 30, 2026, 88.59% of its customers had a CIBIL score of 700 and above, compared to a lower proportion in earlier years. The portfolio is underpinned by prudent collateral coverage, with an average LTV of ~42.6% for MSME loans and ~46% of the outstanding portfolio having LTV below 40%. Around 94% of collateral comprises self-occupied residential and commercial properties, which reduces loss severity, considering borrower default.

The company maintains a granular portfolio profile, with ~92.60% of its secured MSME on-book portfolio comprising loans with ticket sizes below ₹25 lakh, while the average ticket size of secured MSME loans remains moderate at ₹9-10 lakh. The portfolio is complemented by the gold loan segment, which has an average ticket size of ₹1.15 lakh. As on June 30, 2026, SBFC's AUM comprised an on-book and off-book mix of 88:12, reflecting a predominantly on-book lending model. The secured nature of lending, relatively low LTVs and granular exposures provide meaningful protection against ultimate credit losses.

The company has established a diversified geographic presence across 18 states and two union territories through a network of 256 branches. Its branch-led model, with sourcing and collection functions largely handled in-house, supports customer selection, portfolio monitoring and recovery performance. As the network matures, improvement in business productivity and AUM per branch should support operating leverage.

CareEdge Ratings expects SBFC to continue its focus on granular secured lending and conservative underwriting while deepening penetration in its existing markets.

Improving scale of operations and earnings profile

SBFC's net loan book grew by 30.66% to ₹9,805 crore as on March 31, 2026, from ₹7,504 crore as on March 31, 2025, and further increased to ₹10,479 crore as on June 30, 2026. AUM increased to ₹11,270 crore as on March 31, 2026, from ₹8,747 crore as on March 31, 2025, and further to ₹11,922 crore as on June 30, 2026. The increase in scale, improved yields and

operating leverage supported higher earnings. The cost structure has also benefited from scale efficiencies, which should partly offset moderation in lending spreads as the business grows.

Consequently, profitability improved, with PAT increasing to ₹451 crore in FY26 from ₹345 crore in FY25. The earning profile remained strong, reflected in ROTA of 4.71% in FY26 compared to 4.56% in FY25, while return on managed assets (ROMA) improved to 4.13% from 3.98%. Profitability momentum continued in Q1FY27, with PAT rising to ₹130 crore from ₹101 crore in Q1FY26. The healthy profitability profile provides a meaningful buffer against normalised credit costs associated with the MSME borrower segment.

CareEdge Ratings expects SBFC's profitability to remain comfortable, supported by scale benefits and operating efficiency.

Well-capitalised balance sheet with comfortable leverage

As on June 30, 2026, SBFC's capital to risk weighted assets ratio (CRAR) stood at 31.95%, well above the regulatory requirement. The company was listed on Bombay Stock Exchange (BSE) and National Stock Exchange (NSE) as on August 16, 2023, and raised equity of ₹750 crore through IPO and pre-IPO funding rounds, strengthening its capital base. TNW increased to ₹3,442 crore as on March 31, 2026, and further to ₹3,584 crore as on June 30, 2026. While on-book gearing increased to 2.08x as on March 31, 2026, and 2.47x as on June 30, 2026, from 1.80x as on March 31, 2025, it remained comfortable. The capitalisation profile provides adequate headroom for medium-term growth. CareEdge Ratings expects overall gearing to remain below 4.0x in the medium term.

Key weaknesses

Moderate asset quality

SBFC Finance's asset quality remains a key monitorable given its focus on micro and small enterprises, a borrower segment that can be vulnerable to economic and business cycles. GNPA improved to 2.61% as on March 31, 2026, from 2.74% as on March 31, 2025, and stood at 2.66% as on June 30, 2026, while NNPA was 1.55%. Collection efficiency in the secured MSME portfolio remained healthy at 97.42%, including overdues, as on June 30, 2026. Credit costs have increased as the portfolio has seasoned; however, the company's healthy earnings, conservative collateralisation and provisioning provide buffers. Maintaining asset quality at comfortable levels as the portfolio seasons and scales up will remain a key rating monitorable.

Concentration of loan portfolio in the secured MSME segment

In Q1FY27, the company's AUM remained largely concentrated in secured MSME loans, including co-origination loans, which constituted ~78% of total AUM. Consequently, performance of the MSME/LAP portfolio remains a key driver of overall asset quality. Associated risks are mitigated through conservative underwriting, prudent LTV levels, granular ticket sizes, strong collateral coverage, and an improving borrower profile. Around 46% of the outstanding portfolio had LTV below 40% as on June 30, 2026, ~94% of collateral comprised self-occupied residential and commercial properties, and 88.59% of customers had CIBIL scores of 700 and above. The company operated in gold loan segment, which helps in product diversification and expected to contribute ~20% on a sustained basis to the loan book of SBFC.

Liquidity: Adequate

As on June 30, 2026, SBFC had total liquidity of ₹2,234 crore through cash, bank balances, and liquid investments, and unutilised bank lines of ₹370 crore. Together with expected collections of ₹1,498 crore over the subsequent three months, these remained adequate against debt obligations of ₹707 crore over the same period. Per the structural liquidity statement as on June 30, 2026, there were no negative cumulative mismatches in time buckets up to five years. The company has demonstrated access to funding from public and private sector banks, NBFCs, capital markets, and overseas sources. However, the borrowing mix relatively depends on banks and continued diversification of lenders and instruments as the balance sheet scales up would strengthen financial flexibility.

Environment, social, and governance (ESG) risks

SBFC's direct environmental risk exposure is limited given its service-oriented business model; however, adverse environmental developments affecting borrower businesses could have an indirect impact on asset quality. The company continues to promote digital lending and paperless operations, reducing its environmental footprint. Through SBFC Vikas & Paryavaran, the company has supported sustainable rural development initiatives, covering ~4.46 lakh sq. metres and installing 147 solar lights, benefiting ~1,700 people. Additionally, under SBFC Shiksha, solar power infrastructure was provided to a rural school, promoting renewable energy adoption and lowering operating costs. Social risks such as cybersecurity threats, customer data breaches, and mis-selling practices remain key monitorable given their potential impact on reputation and regulatory compliance. Notably, SBFC reported

no data breaches or regulatory penalties in FY26. The company has undertaken several social initiatives through its Corporate Social Responsibility (CSR) programmes, such as SBFC Shiksha, SBFC Gurukul, and SBFC Aarogya.

SBFC maintains a satisfactory governance framework, supported by a nine-member Board comprising four Independent Directors, including one woman director, as on August 31, 2026. The company follows transparent disclosure practices through its Annual Report and Business Responsibility and Sustainability Report (BRSR), with publicly available policies covering whistleblower protection, data privacy, and sustainability.

Applicable criteria

[Definition of Default](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios - Financial Sector](#)

[Short Term Instruments](#)

[Non Banking Financial Companies](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Non-banking financial company (NBFC)

SBFC is registered with the Reserve Bank of India (RBI) as a systematically important non-deposit taking NBFC (SI-ND-NBFC). The company commenced its operations in September 2017, after acquiring the secured retail portfolio from Karvy Financial Service Limited and its branch infrastructure and staff. The company is into the lending business and offers products, such as secured MSME loans and loan against gold (LAG) with majority customers being low-and-middle-income small business customers, salaried or working-class individuals and self-employed customers in urban and semi-urban areas in India, comprising Tier-2 and Tier-3 cities. Unsecured loans such as personal loans and business/professional loans have been discontinued from September 2022.

As on June 30, 2026, the company's operations are spread across 18 states and two union territories with total 256 branches in 201 cities. The company is backed by promoters, SBFC Holdings Pte Limited and Clermont Financial Pte Limited.

Brief Financials (₹ crore)	31-03-2024 (A)	31-03-2025 (A)	31-03-2026 (A)	Q1FY27 (UA)
Total income	1,020	1,306	1,679	492
Profit after tax (PAT)	237	345	451	130
Assets under management (AUM)	6,822	8,747	11,270	11,922
On-book gearing (x)	1.59	1.80	2.08	2.47
AUM / tangible net-worth (TNW) (x)	2.71	2.99	3.27	3.33
Gross non-performing assets (NPA) / gross stage 3 (%)	2.43%	2.74%	2.61%	2.66%
Return on managed assets (ROMA) (%)	3.43%	3.98%	4.13%	3.94%
Capital adequacy ratio (CAR) (%)	40.52%	36.10%	32.84%	31.95%

A: Audited; UA: Unaudited; Note: These are latest available financial results.

All ratios are per CareEdge Ratings' calculation.

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1.

Lender details: Annexure-4**Disclosure on facilities/instruments and name of the regulators:**

A list of facilities / instruments falling under the purview of various financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Commercial Paper (Standalone)-Proposed	RBI	Simple	NA	-	-	-	200.00	CARE A1+
Non-Convertible Debentures	SEBI	Complex	INE423Y07120	04-Feb-2025	Repo rate linked	04-Feb-2030	400.00	CARE AA-; Positive
Fund-based-Long Term	RBI	Simple	-	-	-	-	6000.00	CARE AA-; Positive

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument /Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Fund-based-Long Term	LT	6000.00	CARE AA-; Positive	-	1)CARE AA-; Stable (23-Jan-26) 2)CARE AA-; Stable (09-Oct-25) 3)CARE AA-; Stable (27-May-25)	1)CARE AA-; Stable (25-Jul-24)	1)CARE A+; Positive (19-Mar-24) 2)CARE A+; Stable (05-Apr-23)
2	Debentures-Non Convertible Debentures	LT	400.00	CARE AA-; Positive	-	1)CARE AA-; Stable (23-Jan-26) 2)CARE AA-; Stable (09-Oct-25) 3)CARE AA-; Stable (27-May-25)	1)CARE AA-; Stable (25-Jul-24)	-

3	Commercial Paper-Commercial Paper (Standalone)	ST	200.00	CARE A1+	-	1)CARE A1+ (23-Jan-26) 2)CARE A1+ (09-Oct-25) 3)CARE A1+ (27-May-25)	-	-
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LT: Long term; ST: Short term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Lender details

To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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